You might think that if a company has found its niche and seems to have a clear field ahead of it, word would get around and the price of the stock would reflect it. But that's the beauty of small companies. If you call on big companies, you'll be standing in line. There must be three dozen Wall Street analysts knocking on Microsoft's door every week, and Microsoft sends out reams of data and opinion to institutional investors like myself. So much information is disseminated so quickly, by fax, modem, and conference calls, that it's hard for anyone to get an edge on other investors. Furthermore, the institutional managers react to any news pronto, so developments get reflected in stock prices immediately. That's what the academics mean when they say the market is "efficient."

Small companies aren't blanketed by research coverage. You can actually discover things that others don't know.

Certainly when you look at the three hundred largest corporations that are followed by platoons of security analysts, you are unlikely to learn anything that other people don't know. You might as well throw the proverbial darts at the proverbial list of blue chips and cross your fingers. But small companies aren't blanketed by that kind of coverage. There aren't enough analysts to follow all of them. You can actually discover things that others don't know.

But When's the Payoff?

Perhaps I have raised a question in your minds: Since small companies don't get analysts' attention, won't they just stay ignored? Why own a cheap stock if it's going to stay cheap?